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No Bad News Counts as Good News at GE

Conglomerate's recovery will hinge on concrete signs of improvement in cash flow at its power unit

By Spencer Jakab

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General Electric Co. on Friday beat analysts' consensus estimate for quarterly earnings and reaffirmed its full-year guidance. BRENDAN MCDERMID/REUTERS

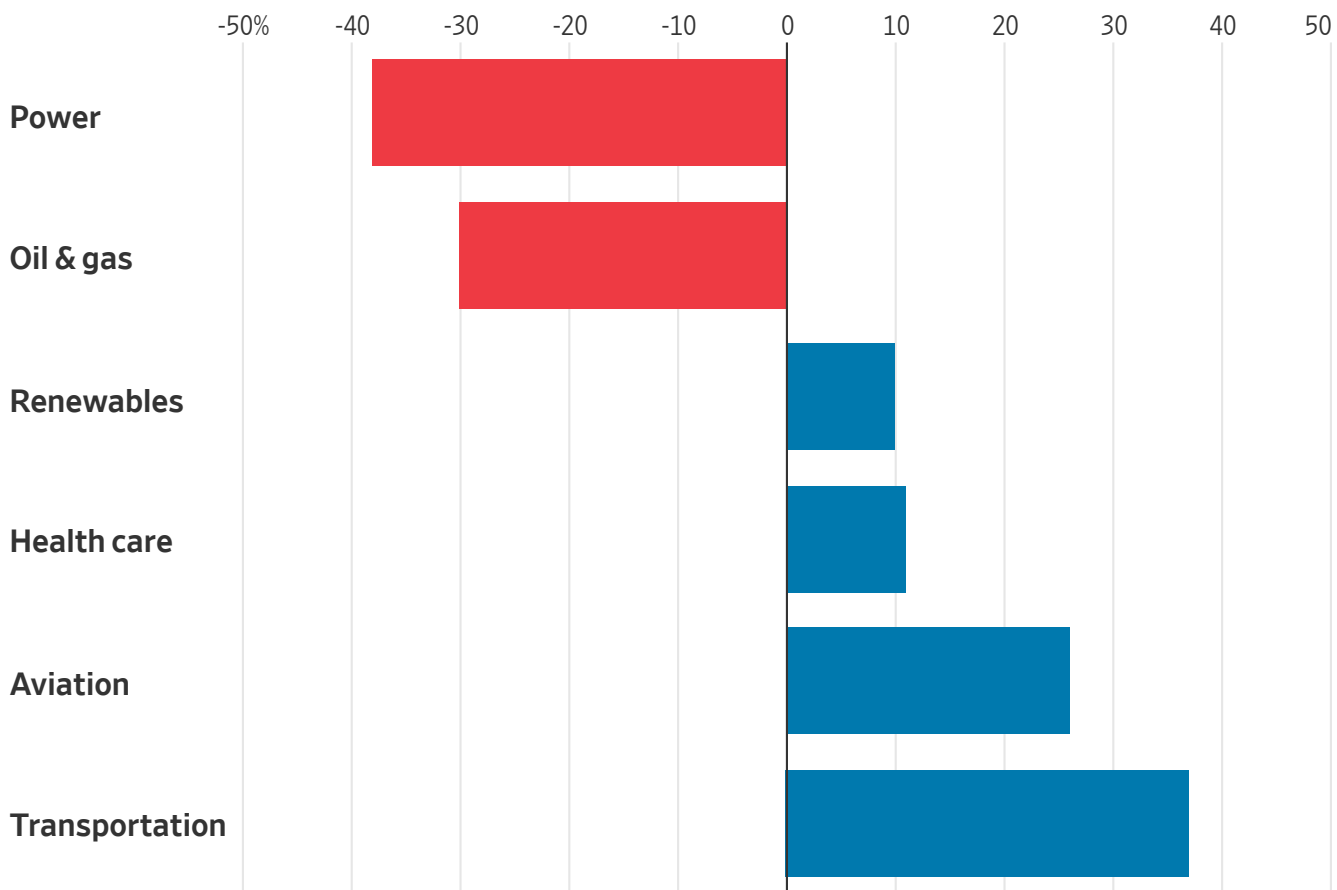
For the first time in months, an announcement from General Electric wasn't dismal.

Yet the bounce in the troubled conglomerate's share price Friday morning merely returned it to where it was in the middle of last month. Recall that just three years ago investors cheered the company's radical downsizing of GE Capital and its plan to return \$90 billion in cash by the end of 2018. The sad reality is the cash return was just \$50 billion and GE's loss in market value has been twice as much.

But that was then and this is now. The fact that GE didn't eliminate its remaining dividend, beat analyst's consensus estimate for first-quarter earnings per share and even reaffirmed its full-year guidance of \$1.00 to \$1.07 a share on Friday counts as great news relative to the market's radically recalibrated expectations.

Power Failure

Change in first-quarter profit at GE units from a year earlier



Source: the company

The other big positive was there was no fresh bad news about GE Capital, no new details about investigations of the company's accounting and the company didn't make any desperate moves to shore up cash. With \$20 billion in asset sales under way and the company projecting adjusted industrial free cash flow of \$6 billion to \$7 billion, a cash crisis now looks less likely.

Investors were almost euphoric, bidding up GE shares more than 7%, though they

quickly sobered up and the gains ebbed from there.

The reality is GE is a long way from health. GE Capital and GE Power are still unfixed and the company's record of selling assets isn't impressive. Aside from successful asset sales, the best evidence that new chief John Flannery's turnaround plan is working would be an improvement in how efficiently the Power division, the company's biggest by revenue, converts so-called contract assets—long-term equipment and service contracts—into cash. There was scant sign of that in Friday's announcement and the company noted that the power market “continues to be challenging and hard to predict.”

Without any sign of if or when that unit will turn around, the safest assumption is to gauge GE's fair value on current levels of profitability. Applying industry multiples of earnings before interest, tax, depreciation and amortization to GE's five main industrial businesses plus the market price of its 62.5% owned oil services unit, there isn't much reason to chase GE's stock above \$15. This assumes that GE Capital's value is zero, which, while that sounds harsh, is better than some fear.

As invigorating as Friday's results were, GE cleared a low bar. Now comes the hard part, and it is likely to be a long, treacherous slog.

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